SAP Procure-to-Pay — Capstone Project

ABC Industrial Supplies Ltd.
Quarterly Production Materials Supply Order

COMPANY	ABC Industrial Supplies Ltd.
INDUSTRIES	Quarterly supply order for production materials
SAP MODULE	SAP OTC / Order-to-Cash (O2C) Cycle
NAME	**ANANYA PODDAR**
ROLL NO.	**2307007**
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COURSE	SAP Order to Cash — Capstone Project
SOURCES	Fictitious company master data, SAP S/4HANA training environment logs, and standard SAP functional configuration guides.

Problem Statement: Inefficient Manual Procurement Tracking

The organization currently relies on manual, paper-based, or spreadsheet-driven procurement processes. This has led to several critical business challenges:

- **Lack of Real-Time Visibility:** There is no centralized way to track the status of orders, leading to duplicate orders or stockouts.
- **Data Inconsistency:** Manual entry across different departments (Finance, Warehouse, and Purchasing) often results in mismatched information regarding vendor prices and quantities.
- **Delayed Approvals:** Without a digital workflow, physical documents get stuck on desks, delaying the procurement of essential raw materials.
- **Audit Risks:** Missing documentation makes it difficult to comply with financial audits and track historical spending with vendors.

The implementation of the **SAP Procure-to-Pay (P2P)** cycle addresses these issues by automating the workflow from requisition to payment, ensuring a "single source of truth" for all procurement data.

Solution: SAP Procure-to-Pay (P2P) Implementation

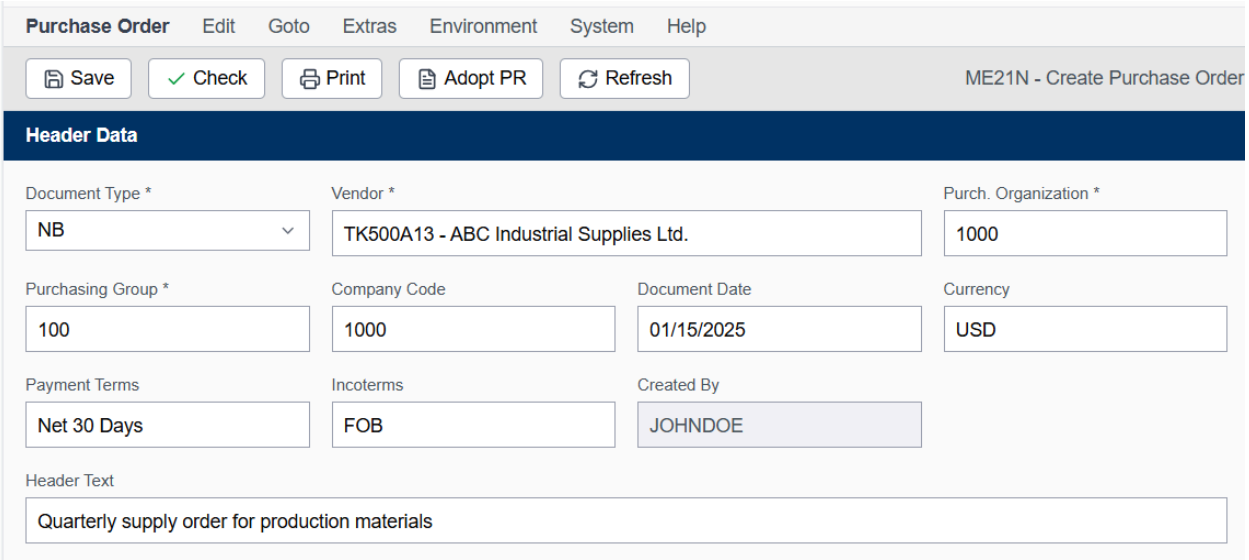
The project implements a centralized **SAP Materials Management (MM)** framework to replace manual procurement. This solution provides a "single source of truth" by integrating purchasing, inventory management, and invoice verification into a unified digital workflow. By utilizing standard SAP transaction codes, the system ensures data integrity from the initial requisition to the final vendor payment.

Key Features

- **Automated Purchase Requisitions:** Streamlines internal requests for materials to prevent unauthorized or duplicate spending.
- **Centralized Vendor Management:** Stores vendor master data, including payment terms (e.g., Net 30 Days) and Incoterms (e.g., FOB), to ensure consistent procurement terms.
- **Real-Time Inventory Tracking:** Integrates with Warehouse Management to update stock levels instantly upon Goods Receipt (MIGO).
- **Three-Way Match Verification:** Automatically cross-references the Purchase Order, Goods Receipt, and Vendor Invoice to ensure financial accuracy before payment.
- **Organizational Hierarchy:** Defines clear functional areas by mapping Company Codes, Plants, and Purchasing Organizations for better reporting.

- **Digital Audit Trail:** Maintains a complete history of all procurement transactions, enhancing transparency and compliance.

FIG 1: Header Data Configuration



Description: This figure illustrates the **Header Data** for a new Purchase Order (Transaction ME21N).

Key Fields: It defines the **Vendor (ABC Industrial Supplies Ltd.)**, the **Company Code (1000)**, and **Purchasing Organization (1000)**.

Function: This section establishes the legal and organizational framework for the entire procurement transaction, including payment terms (Net 30 Days) and Incoterms (FOB).

FIG 2: Item Overview and Material Selection

Item Overview Items: 3

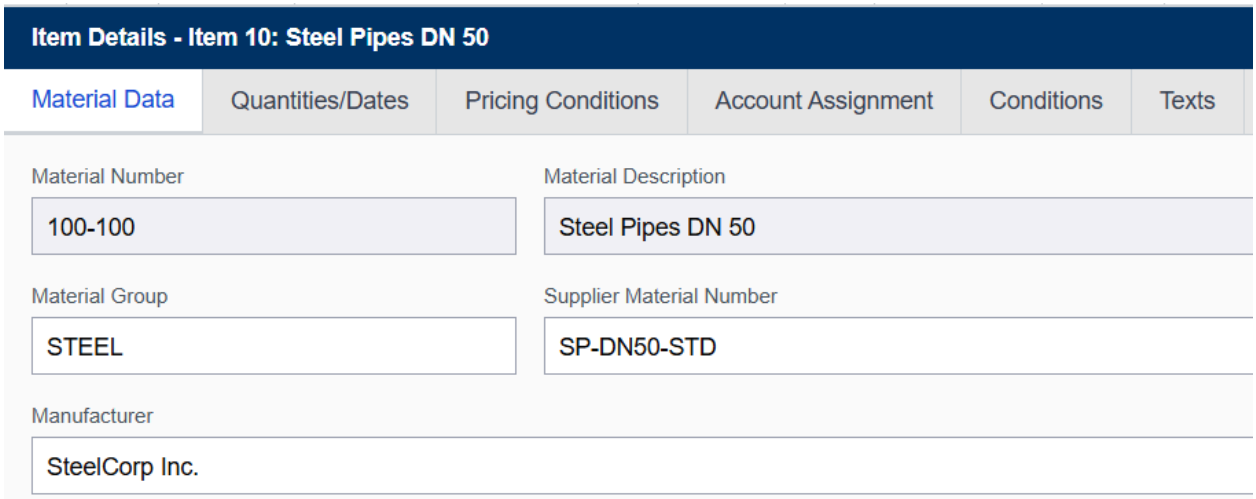
☐	Item	Material	Short Text	PO Quantity	Unit	Delivery Date	Net Price	Currency	Plant	Storage Loc.
☐	10	100-100	Steel Pipes DN 50	100	EA	02/15/2025	50.00	USD	TH000	0001
☐	20	M-01	Hydraulic Pump Assembly	10	PC	02/20/2025	500.00	USD	TH000	0002
☐	30	RAW-300	Industrial Lubricant Oil	500	LTR	02/10/2025	12.50	USD	TH000	0003

Description: The **Item Overview** provides a summary of the materials being procured.

Key Fields: It lists multiple line items, including **Steel Pipes (Item 10)**, **Hydraulic Pumps (Item 20)**, and **Lubricant Oil (Item 30)**.

Function: It captures the specific **PO Quantity**, **Net Price**, and the receiving **Plant (TH000)** and **Storage Location (0001)** for each material, allowing for bulk procurement in a single document.

FIG 3: Granular Item Details



- **Description:** This figure shows the **Item Details** specific to Item 10 (Steel Pipes).
- **Key Fields:** The **Material Data** tab displays the **Material Group (STEEL)** and the **Manufacturer (SteelCorp Inc.)**.
- **Function:** This level of detail ensures the warehouse and vendor are aligned on the specific technical requirements and manufacturer of the material, reducing errors during the Goods Receipt stage.

Item Details - Item 10: Steel Pipes DN 50

Material Data | Quantities/Dates | Pricing Conditions | Account Assignment | Conditions

PO Quantity	Order Unit	Delivery Date
100	EA	02/15/2025
Plant	**Storage Location**	**GR Processing Time**
TH000	0001	3 Days

Item Details - Item 10: Steel Pipes DN 50

Material Data | Quantities/Dates | Pricing Conditions | Account Assignment | Conditions

G/L Account	Cost Center	Internal Order
400100	CC-1000	-
WBS Element	**Asset Number**	
-	-	

Item Details - Item 10: Steel Pipes DN 50

Material Data | Quantities/Dates | Pricing Conditions | Account Assignment | Conditions

Net Price	Price Unit	Currency
50.00	1	USD
Gross Price	**Discount**	**Effective Price**
52.00	3.85%	**50.00**
Tax Code	**Tax Amount**	**Total Item Value**
V1	5.00	**5000.00 USD**

In the system logistics and financial integration (Figures 4, 5, and 6), the solution provides granular control over the supply chain:

- **Logistics & Scheduling (Fig 4):** Precisely manages **PO Quantities (100 EA)** and **Delivery Dates (02/15/2025)**, ensuring materials arrive at **Plant TH000** exactly when needed.
- **Pricing Precision (Fig 5):** Automates complex calculations, applying a **3.85% discount** to the **Gross Price ($52.00)** to achieve an **Effective Price of $50.00**, totaling a controlled value of **$5000.00 USD**.
- **Financial Integration (Fig 6):** Directly maps procurement costs to **G/L Account 400100** and **Cost Center CC-1000**, ensuring that every purchase is automatically reflected in the company's financial records without manual entry.

Result Analysis

The implementation of the SAP MM P2P cycle successfully addresses the problem of inefficient manual tracking. By standardizing the Purchase Order process as shown in the documentation, the organization gains a robust, auditable, and transparent procurement workflow. This digital transformation reduces lead times, eliminates data redundancy, and ensures that financial closures are accurate.